

example, Victor Demiguel and his colleagues have explored many sophisticated methodologies to optimize asset allocation.¹ They have solutions that can possibly beat an equal-weight allocation, but these alternative solutions add a high degree of complexity. We've discussed the empirical rational for following a simple asset allocation model in [Chapter 6](#). An equal-weight portfolio—also promoted by DeMiguel et al.—is what we recommend.

A few quotes attributed to Albert Einstein sum up the key lessons learned from piles of disinterested research compiled on the subject of asset allocation.

1. Keep it as simple as possible, but not simpler.
2. If you can't explain it simply, you don't understand it well enough.

The Ivy 5 portfolio includes five asset classes, each given an equal-weight allocation of 20 percent, as shown in [Figure 9.1](#):

- SP500 = S&P 500 Total Return Index (US stocks)
- EAFE = MSCI EAFE Total Return Index (international stocks)
- REIT = FTSE NAREIT All Equity REITS Total Return Index (real estate)
- GSCI = GSCI Index (commodities)
- LTR = Merrill Lynch 7–10 year Government Bond Index (bonds)



[Figure 9.1](#) Allocation under the Ivy 5 Concept

At a high level, one can think of the Ivy 5 portfolio as 40 percent equity, 40 percent real assets, and 20 percent fixed income portfolio. We consider it a goldilocks portfolio: Not too simple; not too complex; just right.